



Nāṭyaśāstra Gurukulam

CENTRE FOR CIVILISATIONAL STATECRAFT

RESEARCH PROGRAMME: CIVILISATIONAL GOVERNANCE



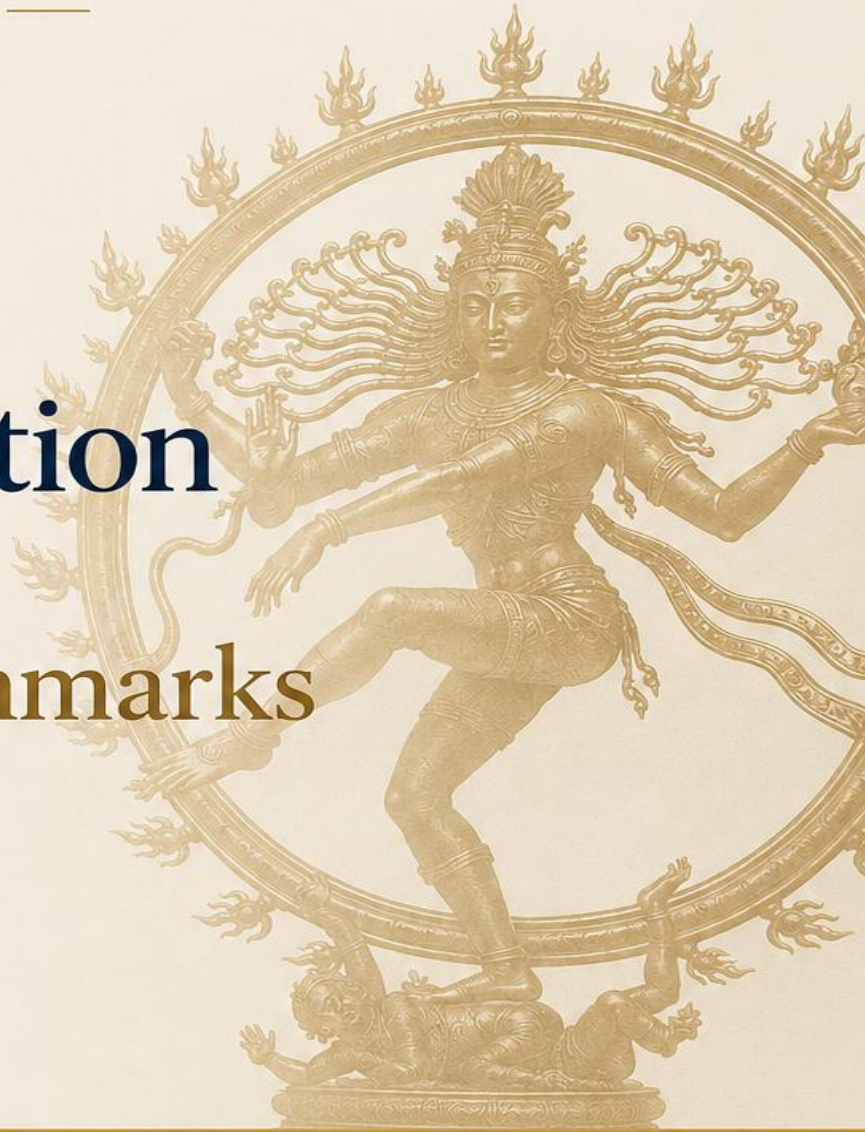
EXECUTIVE WHITE PAPER SERIES

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Executive Compensation Beyond Market Benchmarks

A BOARD FRAMEWORK FOR
FIDUCIARY STEWARDSHIP

Introducing the
Dhārmic Principle of
Fiduciary Proportionality (DPFP)



STRONGER
BOARD JUDGMENT



FIDUCIARY
STEWARDSHIP



LONG-TERM
VALUE CREATION



INSTITUTIONAL
TRUST



ENDURING
LEGITIMACY

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Rooted in Nāṭyaśāstra. Dedicated to Dharma. Committed to Rāma Rājya.

Executive Summary

Executive compensation has become one of the defining governance questions of the modern corporation. Across jurisdictions, boards have adopted increasingly sophisticated mechanisms to determine executive remuneration, including independent remuneration committees, shareholder approval, market benchmarking, performance-linked incentives, and enhanced disclosure. These reforms have significantly strengthened transparency, accountability, and procedural fairness.

Yet public controversy surrounding executive remuneration continues. Shareholder revolts over remuneration reports, widening disparities between executive and employee compensation, and repeated instances of substantial rewards following organisational underperformance suggest that existing governance mechanisms, while necessary, remain incomplete.

The central challenge is not the absence of regulation, nor the inadequacy of market mechanisms. It is the absence of a governing principle capable of answering a prior question:

When is executive reward constitutionally legitimate?

Current governance frameworks explain how executive compensation is determined. They provide comparatively limited guidance on why a particular level of executive reward remains proportionate to the authority entrusted to corporate leadership.

This White Paper introduces the **Dhārmic Principle of Fiduciary Proportionality (DPFP)**, developed within the broader framework of **Corporate Dharma Rājyam (CDR)**.

DPFP proposes that executive remuneration derives its legitimacy not merely from contractual agreement, market valuation, or financial performance, but from its proportionate relationship to:

- the authority entrusted to executive office;
- the fiduciary responsibilities assumed;
- the institutional capabilities created;
- the quality of stewardship exercised; and
- the trust sustained among stakeholders.

The framework neither advocates remuneration caps nor rejects market-based compensation. Instead, it complements existing governance arrangements by introducing a constitutional principle through which boards can evaluate executive reward with greater coherence, consistency, and fiduciary discipline.

To support implementation, the White Paper presents a practical governance toolkit comprising:

- a **Remuneration Constitution** that articulates the Board's enduring philosophy of executive reward;
- a **Board Proportionality Matrix** for structured remuneration deliberation;

- a **Fiduciary Balance Sheet** that complements financial performance with indicators of institutional stewardship;
- an **Executive Stewardship Dashboard** that broadens performance evaluation beyond financial metrics; and
- an **Annual Governance Cycle** through which remuneration decisions are reviewed, justified, and continually refined.

These instruments are designed to strengthen Board judgment while remaining fully compatible with existing corporate governance frameworks.

The proposition advanced in this White Paper is straightforward:

Executive reward should not merely be competitive. It should also be constitutionally legitimate.

By restoring fiduciary stewardship as the governing relationship between authority and reward, the Dhārmic Principle of Fiduciary Proportionality offers Boards a practical framework for strengthening institutional legitimacy, organisational trust, and long-term enterprise success.



1. Why Boards Need a New Principle

Executive remuneration has become one of the defining governance issues of the modern corporation. Over the past three decades, Boards have adopted increasingly sophisticated mechanisms to attract capable leaders, reward performance, and align executive incentives with shareholder interests. Independent remuneration committees, market benchmarking, performance-linked incentives, shareholder oversight, and enhanced disclosure have all strengthened the governance of executive compensation.

These developments represent important progress. They have improved transparency, accountability, and the alignment of executive rewards with organisational performance. Yet despite these advances, controversies surrounding executive remuneration continue to arise across jurisdictions. Shareholder dissent, concerns over widening pay disparities, and questions regarding executive rewards following governance failures suggest that something more fundamental remains unresolved.

The difficulty is not simply how much executives are paid. It is how Boards determine whether executive remuneration is legitimate.

Most existing remuneration frameworks help Boards answer important questions:

- Is the remuneration competitive?
- Is it linked to performance?
- Is it aligned with shareholder interests?
- Has due process been followed?
- Has the decision been properly disclosed?

These are essential considerations. They are not, however, sufficient to establish the legitimacy of executive reward.

Executive office is unlike any other position within the corporation. Chief executives exercise entrusted authority over strategy, capital allocation, organisational culture, innovation, risk, leadership development, and the long-term resilience of the enterprise. As the scope of executive authority expands, so too does the Board's responsibility to ensure that executive reward remains proportionate to the stewardship expected of that office.

This is where current governance frameworks reveal an important limitation.

Market benchmarking establishes competitiveness; it does not establish legitimacy.

Performance incentives encourage value creation; they do not necessarily distinguish between sustainable stewardship and short-term extraction.

Disclosure strengthens transparency; it does not explain why a particular level of remuneration is proportionate to entrusted authority.

The question before Boards is therefore no longer simply: **How should executive remuneration be determined?**

It is increasingly: **What makes executive remuneration legitimate?**

This White Paper proposes that the answer lies not in additional regulation or more complex remuneration formulas, but in a clearer governing principle. By understanding executive office as a fiduciary trust rather than merely a contractual position, Boards can evaluate executive reward through the broader lenses of stewardship, responsibility, institutional capability, and trust.

The following section introduces the **Dhārmic Principle of Fiduciary Proportionality (DPFP)**, a practical governance framework that enables Boards to evaluate executive remuneration not only for competitiveness and compliance, but also for fiduciary legitimacy.

2. A New Board Lens: The Dhārmic Principle of Fiduciary Proportionality

The challenge identified in the preceding section is not one of regulation but of governance.

Boards today possess increasingly sophisticated mechanisms for determining executive remuneration. They evaluate market competitiveness, financial performance, shareholder expectations, and incentive alignment with considerable rigour. These processes answer an important question: **How should executive remuneration be determined?**

They answer less clearly the prior question: **When is executive remuneration legitimate?**

The **Dharmic Principle of Fiduciary Proportionality (DPFP)** addresses this question.

It begins with a simple proposition:

Executive reward is legitimate only when it remains proportionate to the fiduciary stewardship exercised under entrusted authority.

This proposition recognises that executive office is not merely a contractual position. It is an entrusted fiduciary responsibility. Chief executives exercise significant authority over strategy, capital allocation, organisational culture, innovation, risk, leadership development, and the long-term resilience of the enterprise. The legitimacy of executive reward therefore depends not only upon what has been achieved, but also upon how that authority has been exercised.

DPFP does not reject market-based remuneration or performance-linked incentives. On the contrary, it recognises that successful organisations must attract, retain, and reward capable leaders. The principle simply adds a broader governance perspective.

Executive remuneration should reflect two inseparable dimensions.

Capability recognises what executive leadership contributes to the organisation through performance, innovation, value creation, and long-term competitiveness.

Fiduciary Stewardship evaluates how authority has been exercised through prudence, accountability, integrity, leadership development, responsible risk management, and the preservation of institutional trust.

Neither dimension is sufficient on its own.

Capability without stewardship may generate impressive financial results while gradually weakening the institution.

Stewardship without capability reflects responsible intent but cannot sustain organisational performance.

Legitimate executive reward therefore arises when both remain proportionately aligned.

This shift has important implications for Board deliberation. Instead of evaluating executive remuneration solely as the outcome of market competition or contractual negotiation, Boards are encouraged to view remuneration as an institutional affirmation of responsible leadership.

Executive reward thus becomes more than an incentive mechanism. It becomes a visible expression of the organisation's governance philosophy, reinforcing the relationship between authority, responsibility, and trust.

The remaining sections of this White Paper translate this governing principle into practical Board questions and governance tools that can be incorporated into existing remuneration processes without legislative change or structural disruption.

Figure 1.

The Logic of Fiduciary Proportionality



3. Five Questions Every Board Should Ask Before Approving Executive Remuneration

The Dharmic Principle of Fiduciary Proportionality (DPFP) does not prescribe pay levels, remuneration caps, or rigid formulas. It strengthens Board judgment by introducing a disciplined framework for deliberation. Before approving executive remuneration, every Board should ask five simple but fundamental questions.



1

Is the proposed reward proportionate to the authority entrusted?

Executive remuneration should reflect not only organisational size or market benchmarks but also the scope of authority and responsibility entrusted to executive office.



2

Does the remuneration recognise long-term capability creation?

Boards should distinguish between short-term financial performance and the creation of enduring institutional capability through innovation, leadership development, strategic renewal, organisational resilience, and sustainable value creation.



3

Has executive authority been exercised with fiduciary stewardship?

Performance matters, but so does the manner in which it is achieved. Boards should evaluate whether executive leadership has demonstrated integrity, prudence, accountability, responsible risk management, succession development, and ethical stewardship.



4

Will this remuneration strengthen institutional trust?

Executive remuneration communicates what an organisation values. Boards should consider whether the proposed reward reinforces confidence among shareholders, employees, customers, regulators, and other stakeholders by reflecting fairness, responsible leadership, and long-term commitment.



5

Can this decision be justified as an expression of fiduciary stewardship?

The final test is one of governance. If directors were required to explain the remuneration decision solely in terms of fiduciary responsibility and stewardship, rather than market practice or contractual entitlement, would the decision remain persuasive?



THE DPFP BOARD TEST

When all five questions can be answered confidently, executive remuneration is more likely to reflect not only commercial success, but also the fiduciary stewardship expected of entrusted leadership.

The objective is not merely to determine whether executive remuneration is competitive or compliant, but whether it is also constitutionally legitimate.

4.The Board Governance Toolkit

The Dhārmic Principle of Fiduciary Proportionality (DPFP) is intended to strengthen Board judgment—not add procedural complexity. It complements existing remuneration frameworks through a practical set of governance tools that can be progressively integrated into Board and Remuneration Committee processes.

Each tool serves a distinct purpose. Together, they provide a coherent governance architecture that enables Boards to evaluate executive remuneration through the broader lens of fiduciary stewardship.

GOVERNANCE TOOL	PURPOSE	PRIMARY USER
 Remuneration Constitution	Establishes the Board's enduring philosophy and principles governing executive remuneration.	 Full Board
 Board Proportionality Matrix	Structures Board deliberations by evaluating executive reward against authority, capability, stewardship, and institutional trust.	 Remuneration Committee
 Fiduciary Balance Sheet	Complements financial reporting by assessing the institution's stewardship assets and fiduciary liabilities.	 Board & Audit Committee
 Executive Stewardship Dashboard	Broadens executive performance assessment beyond financial metrics to include leadership quality, resilience, culture, and trust.	 Remuneration Committee
 Annual Governance Cycle	Embeds proportionality into the Board's annual review, decision-making, disclosure, and continuous improvement process.	 Company Secretary & Board

A Progressive Framework

Boards need not adopt every element simultaneously.

Many organisations can begin by incorporating a structured proportionality discussion into existing Remuneration Committee meetings. As governance practices mature, additional tools may be introduced without legislative change, organisational restructuring, or disruption to established remuneration policies.

The toolkit is intentionally modular. Each instrument strengthens Board judgment independently while contributing to an integrated governance architecture centred on fiduciary stewardship.

Key Insight

The strength of DPFP lies not in any single tool, but in the disciplined way these instruments reinforce one another to improve the quality of Board judgment.

5. What Changes on Monday Morning?

DPFP does not require new legislation, additional regulation, or wholesale redesign of executive remuneration policies. It begins with better Board conversations and more disciplined governance judgment.

SIX PRACTICAL ACTIONS FOR BOARDS



A PRACTICAL ROADMAP

The journey from remuneration oversight to fiduciary stewardship is evolutionary rather than disruptive. Small improvements in Board deliberation can, over time, strengthen executive legitimacy, institutional trust, and long-term enterprise resilience.



THE MONDAY MORNING COMMITMENT

At the next Remuneration Committee meeting, ask one additional question:

“Can this remuneration decision be justified as an expression of fiduciary stewardship?”

That single question changes the character of the discussion. It moves executive remuneration beyond the mechanics of compensation towards the constitutional responsibilities of entrusted leadership.



Every governance framework provides Boards with processes.
DPFP provides Boards with a governing principle.

6. Conclusion: Executive Reward as Fiduciary Stewardship

Executive remuneration is more than a question of compensation. It is one of the clearest expressions of an organisation's governance philosophy. Every remuneration decision communicates what a Board values, how it understands leadership, and the standards of stewardship it seeks to uphold.

Modern corporate governance has made significant advances in strengthening remuneration oversight through independent Board processes, shareholder engagement, market benchmarking, performance-linked incentives, and enhanced disclosure. These developments have improved transparency and accountability and should remain integral to sound governance.

Yet effective governance depends not only upon robust processes but also upon sound governing principles.

The Dhārmic Principle of Fiduciary Proportionality (DPFP) offers one such principle. It proposes that executive remuneration should be evaluated not only by the outcomes achieved, but by the responsible exercise of entrusted authority through capable leadership, prudent stewardship, and the preservation of institutional trust.

The framework neither replaces existing governance practices nor advocates additional regulation. It complements contemporary remuneration frameworks by providing Boards with a constitutional lens through which executive reward may be judged with greater coherence, consistency, and fiduciary discipline.

The question before Boards is therefore no longer simply: **"What should we pay our executives?"**

It is increasingly: **"What does this remuneration decision say about the kind of institution we aspire to build?"**

The answer to that question will shape more than executive compensation. It will influence organisational culture, stakeholder confidence, leadership development, and the long-term legitimacy of the enterprise itself.

The twentieth century refined the economics of executive remuneration.

The governance challenge of the twenty-first century is to strengthen its constitutional legitimacy.

If Boards embrace executive office as a fiduciary trust, executive reward becomes more than an instrument of incentive. It becomes the institutional recognition of leadership exercised with responsibility, restraint, and stewardship.

That is the enduring proposition of the Dharmic Principle of Fiduciary Proportionality.



THE DPFP PROPOSITION



Executive reward should not merely be competitive or compliant.



It should be proportionate to the fiduciary stewardship exercised under entrusted authority.



Executive remuneration is more than the price of executive talent.



It is the Board's public affirmation of how entrusted authority ought to be exercised.



When remuneration reflects capable leadership, responsible stewardship, and institutional trust, it strengthens not only executive legitimacy but the constitutional integrity of the enterprise itself.



Because enduring institutions are built not only through capable leadership, but through leadership that commands trust.

A FRAMEWORK FOR BETTER BOARD JUDGMENT



Better
Questions



Better
Deliberation



Better
Stewardship



Better
Institutions



The Dhārmic Principle of Fiduciary Proportionality

A practical governance framework for Boards seeking to strengthen executive legitimacy through fiduciary stewardship.



Nāṭyaśāstra Gurukulam

CENTRE FOR CIVILISATIONAL STATECRAFT



*Reimagining Governance Through
India's Civilisational Knowledge Systems*

Nāṭyaśāstra Gurukulam is an independent research and leadership institution dedicated to the renewal of public, corporate, and institutional life through India's civilisational knowledge systems.

Through research, executive education, publications, and institutional engagement, the Centre develops practical governance frameworks that strengthen fiduciary stewardship, institutional legitimacy, responsible leadership, and long-term societal flourishing.

The Civilisational Governance Research Programme applies insights from the Nāṭyaśāstra and allied knowledge traditions to contemporary questions of corporate governance, public policy, institutional design, economics, and leadership.



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